

Executive Summary

The business achieved strong sales and profit growth, but performance quality is uneven. The key management risks are 2017 margin pressure, weak Furniture profitability, high-discount losses, geographic pockets of negative profit, and elevated return risk in the West.

TOTAL SALES

\$2.30M

TOTAL PROFIT

\$286.4K

PROFIT MARGIN

12.47%

RETURN RATE

5.91%

5 Key Insights

1

Growth remains strong, but 2017 margin weakened

Sales rose 20.36% in 2017 while Profit rose 14.24%; Profit Margin fell from 13.43% to 12.74%. Growth remained strong, but each sales dollar produced slightly less profit.

2

Furniture is a high-revenue, low-profit category

Furniture generated about \$742K in Sales but only \$18.5K in Profit - a margin of about 2.49%, versus roughly 17% for Technology and Office Supplies.

3

Heavy discounting is strongly associated with losses

Transactions discounted 30%+ generated substantial Sales but negative overall Profit. Some revenue is being created at the expense of profitability.

4

Geographic performance is uneven

West leads in Sales and Profit, while Central has a much weaker margin. Texas, Ohio, Pennsylvania, and Illinois generate meaningful Sales while producing losses.

5

West is strong commercially but carries return risk

West is the strongest region in Sales and Profit, yet its Return Rate is substantially above the company average, creating an operational risk in a key market.

5 Priority Recommendations

1

Protect the quality of growth

RECOMMENDED ACTION

Track Profit Margin alongside Sales growth and investigate the drivers of the 2017 margin decline before prioritizing further revenue expansion.

2

Fix Furniture profitability before pushing more volume

RECOMMENDED ACTION

Review pricing, discounts, and product mix within Furniture, with particular attention to loss-making or weak sub-categories such as Tables and Bookcases.

3

Tighten control over high discounts

RECOMMENDED ACTION

Review transactions at 30%+ discount and consider approval thresholds after identifying the products, regions, and customer groups receiving those discounts.

4

Prioritize state-level profitability reviews

RECOMMENDED ACTION

Start with Texas, Ohio, Pennsylvania, and Illinois. Examine discount levels, category mix, and product performance before allocating more investment to these markets.

5

Investigate the West return problem

RECOMMENDED ACTION

Analyze returned orders in the West, especially the states and order groups contributing most to returns, before changing product, pricing, or service policies.

KEY TAKEAWAY

The priority is not simply to sell more - it is to generate more profitable sales.

Use Sales, Profit Margin, discount behavior, geography, and returns together when making growth decisions.